WELLS FARGO

Price Target Change — April 23, 2026

Homebuilders

D.R. Horton, Inc.

Solid & Straightforward FQ2 Puts Elements of the Bear Thesis to Rest

Equal Weight
Price Target: $170.00

Notable Changes			
$ (Sep)	Current	Prior	% Chg
Price Target	$170.00	$147.00	15.6% ▲
EPS 2026	10.45	9.60	8.8% ▲
EPS 2027	11.10	10.35	7.3% ▲
Rev. (MM) 2026	33.70B	32.86B	2.5% ▲
Rev. (MM) 2027	34.94B	34.01B	2.7% ▲

Ticker	DHI
Upside/(Downside) to Target	**2.9%**
Price (04/21/2026)	**$165.13**
52 Week Range	$114.17 - 184.54
Market Cap (MM)	$48,433
Enterprise Value (MM)	$53,022
Average Daily Value (MM)	$482
Dividend Yield	1.1%

$ (Sep) EPS	Q1	Q2	Q3	Q4	FY
2026E	2.03 A	2.24 A	2.96 E	3.25 E	10.45 E
Prior	NC	2.06 E	2.61 E	2.93 E	9.60 E
2027E	2.35 E	1.95 E	4.33 E	2.49 E	11.10 E
Prior	2.26 E	1.94 E	3.71 E	2.45 E	10.35 E

EPS: EPS do not sum, as share buybacks do not average to the full year due to timing of quarterly purchases.
Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NC = No Change, NE = No Estimate

Sam Reid
Equity Analyst | Wells Fargo Securities, LLC
Sam.Reid@wellsfargo.com | 727-512-3872

Eric Cohen, CFA
Associate Equity Analyst | Wells Fargo Securities, LLC
Eric.Cohen@wellsfargo.com | 212-214-8061

Our Call

Amidst uncertainty, this was a better-than-expected qtr; GM%/pre-tax% decisively beat (even ex warranty benefit), April-to-date sounds good & the outlook (FQ3 GM%/FY26 deliveries) is ahead of the buyside; in short, we should have been more positive!

Big picture. We're not ready to get too bullish on builders, as some of today's better-vs-expected results/guide is likely DHI idio vs industry-wide. That said, it's hard not to extrapolate some of the comments from DHI's call ('pleased w/ April', stable can rate, improving cycle times & stick/brick/labor savings) spilling into peer results. For builder stocks to work, we would need to get to last cut. We're taking #s up (detail below), which could signal we're almost there (at least for DHI).

Incremental FQ2 #s from the call. 1) Orders +11% y/y; so was community count, implying pace flat (much better vs -MSD% expects); **2)** Starts at 27.5K were +38% y/y (~4 pace); **3)** Can rate = 16.0% (flat y/y but -2pts q/q & -4pts vs FQ4), a sign buyers are more confident vs feared; **4)** Revs/stick & brick per sf were both -2% q/q, and it sounds like DHI is not seeing the sort of input cost inflation some have been worried about (us included); **5)** Lot cost inflation was +4%/sf y/y (we were MSD%+).

Add'l outlook tidbits. On FQ3, DHI is guiding revs $8.8-9.3B, closings 23.5-24.0K & GM% 19.7-20.2% (vs St into EPS at $9.0B/23.5K/19.4% & all unambiguously ahead of buyside into EPS as best we can tell). On FY26, guide now contemplates revs/deliveries at $33.5-$34.5B/86-87.5K (lower by $0.5B/0.5K at top end), but also better vs fears into EPS; this is, by extension, probably a good read for start-levered names like BLDR. Elsewhere, DHI still sees consolidated op cash/buybacks at >$3B/~$2.5B.

Final thoughts. Why are shares up? Simply put, we believe negative positioning into the print against better KPIs. Whether this holds is TBD, especially if some of this proves DHI idio vs systemic (we'll see). We're taking our sub-Street estimates up, now $10.45/$11.10 ($9.60/$10.35 prior). Should this prove to be the start of a favorable revision cycle, that's unambiguously positive. We're not quite there yet, but tip our hat to DHI for a solid FQ2; PT to $170 (2.0x TBV) from $147.

FQ2 #s rewind. For details, see our first take; **1)** Revs $7.6B; WF/St $7.6B/$7.5B; Guide = $7.3-7.8B; **2)** Closings 19.5K; WF/St 20.0K/20.0K; Guide = 19.7K-20.2K; **3)** Closing ASP $362K; WF/St $357K/$361K; **4)** Orders 25.0K; WF/St 24.0K/24.1K; **5)** Order ASP $366K; WF/St $358K/$362K; **5)** GM% 20.1%; WF/St 19.0%/19.3%; guide = 19.0%-19.5% [*20.0% ex 40bp warranty cost recovery*]; **6)** HB SG&A% 9.2%; WF/St 9.2%/9.0%; **7)** Pre-tax% 11.5% (11.1% ex warranty benefit; WF/St 10.6%/10.4%; guide = 10.6%-11.1%

All estimates/forecasts are as of 4/21/2026 unless otherwise stated. 4/21/2026 12:25:27EDT. Please see page 6 for rating definitions, important disclosures and required analyst certifications. Wells Fargo Securities, LLC does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of the report and investors should consider this report as only a single factor in making their investment decision.

This document is for todd@fullertonlp.com and should not be distributed further.

Wells Fargo Express Takeaways

D.R. Horton, Inc. (DHI) | Rating: Equal Weight | Price Target: $170.00
Analyst: Sam Reid

Financials

FY (Sep) $ ESTIMATES	2025A	2026E	2027E
EPS			
Q1	2.61 A	2.03 A	2.35 E
Q2	2.58 A	2.24 A	1.95 E
Q3	3.36 A	2.96 E	4.33 E
Q4	3.04 A	3.25 E	2.49 E
AN	11.57 A	10.45 E	11.10 E
Rev. (MM)	34.25B A	33.70B E	34.94B E
EBIT (MM)	5,032.2 A	4,221.9 E	4,273.1 E
EBITDA (MM)	5.13B A	4.33B E	4.39B E
FCF (MM)	3,283.5 A	3,158.1 E	2,750.4 E

WELLS FARGO vs. CONSENSUS			
Consensus Estimate	11.57 A	10.31 E	11.91 E
Difference from Consensus		1.3%	(6.8)%

VALUATION			
P/E	14.3x	15.8x	14.9x
EV/Revenue	1.5x	1.6x	1.5x
EV/EBIT	10.5x	12.6x	12.4x
EV/EBITDA	10.3x	12.2x	12.1x
EV/FCF	16.1x	16.8x	19.3x
FCF Yield	6.8%	6.5%	5.7%

EPS: EPS do not sum, as share buybacks do not average to the full year due to timing of quarterly purchases.
Consensus Estimate: EPS; Source FactSet
Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NE = No Estimate

Investment Thesis

DHI (Equal Weight) is a leading entry-level homebuilder, with a production-minded approach to construction (plus scale). That said, there's risk across entry-level as peer discounts persist, keeping us sidelined.

Risk vs. Reward – Upside/Downside Price Target Scenarios

**As of 04/21/26*
Source: Wells Fargo Securities, LLC estimates and Factset.

Base Case | $170.00

Our $170 price target is based on 17.0x our calendar 2026 EPS estimate, a premium to DHI historical PE, crediting the company for its production-minded approach to construction. But we no longer see enough upside to warrant an Overweight rating; Thus, it's prudent to stay sidelined. This implies P/TBV of 2.0x.

Upside Scenario | $205.00

Our $205 upside price target is based on 19.5x our calendar 2026 upside EPS estimate. This implies P/TBV of 2.4x. Key sources of upside include: more favorable rate environment, further easing of the supply chain and persistently low EHS supply (favorable for DHI's mix of spec production).

Downside Scenario | $111.00

Our $111 downside price target is based on 13.7x our calendar 2026 downside EPS estimate. This implies P/TBV of 1.3x. Key sources of downside include: a deteriorating macro environment, supply chain disruptions and a dramatic step up in existing home supply.

Upcoming Catalysts

Key company-specific catalysts include FQ3 earnings, with updated perspective on FY26 guide. Elsewhere, macro data points will inevitably matter (rates in particular, plus the usual suspects such as starts, NHS, etc). EHS dynamics are also important, as shifting EHS trends could affect **DHI**'s spec business (*more EHS inventory = stepped-up competition for new specs* or vice versa).

Company Description

DHI is the largest homebuilder in the U.S. by volume, with operations in 100+ markets. **DHI** caters to a mix of buyer groups (with an entry-level skew; ASP ~$380K).

This document is for todd@fullertonlp.com and should not be distributed further.

Financials

DR Horton Inc (DHI)
Revenue Build and Drivers

Sam Reid | Wells Fargo
sam.reid@wellsfargo.com | 404-680-7232

Period end date	9/30/23	9/30/24	12/31/24	3/31/25	6/30/25	9/30/25	9/30/25	12/31/25	3/31/26	6/30/26	9/30/26	9/30/26	12/31/26	3/31/27	6/30/27	9/30/27	9/30/27	9/30/28
days	365	366	92	90	91	92	365	92	90	91	92	365	92	90	91	92	365	366
($ in millions except per share data)	FY23A	FY24A	1Q25A	2Q25A	3Q25A	4Q25A	FY25A	1Q26A	2Q26A	3Q26E	4Q26E	FY26E	1Q27E	2Q27E	3Q27E	4Q27E	FY27E	FY28E
Revenue by Segment																		
Home sales	31,641	33,904	7,146	7,181	8,561	8,544	31,432	6,513	7,046	8,579	9,252	31,390	7,842	6,003	11,942	6,630	32,417	34,995
Land/lot sales & other	412	330	67	104	56	110	337	80	108	103	139	430	79	102	110	154	444	470
Rental property sales	2,606	1,685	218	237	381	805	1,641	110	212	290	415	1,026	294	294	294	294	1,177	1,220
Financial services	801	883	182	213	228	218	841	185	193	233	241	851	226	167	330	176	899	988
Consolidated Revenue	**$35,460**	**$36,802**	**$7,613**	**$7,734**	**$9,226**	**$9,678**	**$34,251**	**$6,887**	**$7,558**	**$9,204**	**$10,048**	**$33,697**	**$8,441**	**$6,566**	**$12,676**	**$7,254**	**$34,938**	**$37,674**
Seasonality	100.0%	100.0%	22.2%	22.6%	26.9%	28.3%	100.0%	20.4%	22.4%	27.3%	29.8%	100.0%	24.2%	18.8%	36.3%	20.8%	100.0%	
Consensus Sales	***$35,460***	***$36,801***	***$7,613***	***$7,734***	***$9,226***	***$9,678***	***$34,250***	***$6,887***	***$7,558***	***$8,950***	***$9,884***	***$33,289***	***$7,257***	***$7,757***	***$9,766***	***$10,056***	***$35,199***	***$37,849***
Consensus Land Sales	*$412*	*$330*	*$67*	*$104*	*$56*	*$110*	*$337*	*$80*	*$108*	*$23*	*$24*	*$86*	*$13*	*$15*	*$37*	*$21*	*$94*	*#N/A*
Consensus Financial Services Sales	*$802*	*$883*	*$182*	*$213*	*$228*	*$218*	*$841*	*$185*	*$193*	*$225*	*$236*	*$853*	*$196*	*$208*	*$256*	*$241*	*$882*	*$940*
Home sales operational data (company-wide)																		
Revenues ($s)	**$31,641**	**$33,904**	**$7,146**	**$7,181**	**$8,561**	**$8,544**	**$31,432**	**$6,513**	**$7,046**	**$8,579**	**$9,252**	**$31,390**	**$7,842**	**$6,003**	**$11,942**	**$6,630**	**$32,417**	**$34,995**
Deliveries (units)	**82,917**	**89,690**	**19,059**	**19,276**	**23,160**	**23,368**	**84,863**	**17,818**	**19,486**	**23,804**	**25,954**	**87,062**	**21,454**	**16,603**	**32,807**	**18,599**	**89,463**	**95,621**
Average sales price	$381.6K	$378.0K	$374.9K	$372.5K	$369.7K	$365.6K	$370.4K	$365.5K	$361.6K	$360.4K	$356.5K	$360.5K	$365.5K	$361.6K	$364.0K	$356.5K	$362.4K	$366.0K
Consensus Home Sales	***$31,641***	***$33,904***	***$7,146***	***$7,181***	***$8,561***	***$8,544***	***$31,432***	***$6,513***	***$7,046***	***$8,329***	***$9,000***	***$31,010***	***$7,040***	***$7,125***	***$9,413***	***$9,139***	***$32,383***	***$32,688***
Consensus Delivery Units	***82,917***	***89,690***	***19,059***	***19,276***	***23,160***	***23,368***	***84,863***	***17,818***	***19,486***	***22,849***	***25,647***	***86,267***	***19,973***	***19,672***	***26,477***	***25,208***	***91,881***	***90,334***
Consensus Delivery ASP	*$381K*	*$378K*	*$375K*	*$373K*	*$369K*	*$366K*	*$370K*	*$366K*	*$359K*	*$360K*	*$359K*	*$361K*	*$365K*	*$363K*	*$364K*	*$364K*	*$363K*	*$362K*
New orders ($s)	**$29,528**	**$32,714**	**$6,654**	**$8,359**	**$8,422**	**$7,326**	**$30,760**	**$6,662**	**$9,154**	**$8,667**	**$7,503**	**$31,985**	**$6,795**	**$9,337**	**$8,840**	**$7,653**	**$32,624**	**$33,610**
New orders (units)	**78,342**	**86,561**	**17,837**	**22,437**	**23,071**	**20,078**	**83,423**	**18,300**	**24,992**	**24,225**	**20,982**	**88,498**	**18,666**	**25,492**	**24,709**	**21,401**	**90,268**	**92,073**
Average sales price	$376.9K	$377.9K	$373.0K	$372.5K	$365.1K	$364.9K	$368.7K	$364.0K	$366.3K	$357.8K	$357.6K	$361.4K	$364.0K	$366.3K	$357.8K	$357.6K	$361.4K	$365.0K
Community Data & Absorption																		
Community Count	**1,765**	**1,942**	**1,978**	**2,037**	**2,064**	**2,194**	**2,194**	**2,216**	**2,261**	**2,167**	**2,304**	**2,304**	**2,282**	**2,328**	**2,232**	**2,373**	**2,373**	**2,444**
Orders per community	**4.0**	**3.9**	**3.0**	**3.7**	**3.8**	**3.1**	**3.4**	**2.8**	**3.7**	**3.6**	**3.1**	**3.3**	**2.7**	**3.7**	**3.6**	**3.1**	**3.2**	**3.2**
Consensus Order Value	***$31,571***	***$32,714***	***$6,654***	***$8,359***	***$8,422***	***$7,326***	***$30,760***	***$6,679***	***$8,852***	***$8,762***	***$7,554***	***$31,829***	***$6,795***	***$8,758***	***$8,495***	***$7,466***	***$34,528***	***$32,465***
Consensus Order Units	***78,342***	***86,561***	***17,837***	***22,437***	***23,071***	***20,078***	***83,423***	***18,300***	***24,992***	***24,237***	***21,030***	***87,313***	***19,346***	***25,211***	***25,542***	***22,683***	***92,592***	***90,256***
Consensus Order ASP	*$379K*	*$378K*	*$373K*	*$373K*	*$370K*	*$365K*	*$369K*	*$364K*	*$362K*	*$358K*	*$359K*	*$360K*	*$363K*	*$360K*	*$357K*	*$362K*	*$362K*	*$360K*
Backlog value ($s)	**$5,923**	**$4,770**	**$4,299**	**$5,477**	**$5,338**	**$4,120**	**$4,120**	**$4,314**	**$6,422**	**$6,509**	**$4,759**	**$4,759**	**$3,713**	**$7,046**	**$3,944**	**$4,966**	**$4,966**	**$3,580**
Backlog (units)	**15,197**	**12,180**	**11,003**	**14,164**	**14,075**	**10,785**	**10,785**	**11,376**	**16,882**	**17,303**	**12,330**	**12,330**	**9,542**	**18,431**	**10,333**	**13,135**	**13,135**	**9,587**
Average backlog contract price	$389.8K	$391.7K	$390.7K	$386.7K	$379.3K	$382.0K	$382.0K	$379.2K	$380.4K	$376.2K	$386.0K	$386.0K	$389.1K	$382.3K	$381.7K	$378.1K	$378.1K	$373.5K
Consensus Backlog Value	***$5,923***	***$4,770***	***$4,299***	***$5,477***	***$5,338***	***$4,120***	***$4,120***	***$4,314***	***$6,422***	***$6,311***	***$4,902***	***$4,902***	***$4,098***	***$6,210***	***$5,736***	***$5,312***	***$5,366***	***$4,239***
Consensus Backlog Units	***15,197***	***12,180***	***11,003***	***14,164***	***14,075***	***10,768***	***10,785***	***11,376***	***16,882***	***16,411***	***12,026***	***12,026***	***11,096***	***16,636***	***15,700***	***13,175***	***12,974***	***12,331***
Consensus Backlog ASP	*$390K*	*$392K*	*$391K*	*$385K*	*$377K*	*$383K*	*$383K*	*$381K*	*$375K*	*$375K*	*$379K*	*$379K*	*$383K*	*$381K*	*$381K*	*$387K*	*$383K*	*$344K*

Source: Company reports, FactSet and Wells Fargo Securities, LLC estimates

This document is for todd@fullertonlp.com and should not be distributed further.

DR Horton Inc (DHI)
Quarterly Income Statement

Sam Reid | Wells Fargo
sam.reid@wellsfargo.com | 404-680-7232

Period end date ($ in millions except per share data)	9/30/23 FY23A	9/30/24 FY24A	12/31/24 1Q25A	3/31/25 2Q25A	6/30/25 3Q25A	9/30/25 4Q25A	9/30/25 FY25A	12/31/25 1Q26A	3/31/26 2Q26A	▼ 6/30/26 3Q26E	9/30/26 4Q26E	9/30/26 FY26E	12/31/26 1Q27E	3/31/27 2Q27E	6/30/27 3Q27E	9/30/27 4Q27E	9/30/27 FY27E	9/30/28 FY28E
Consolidated Revenue	**$35,460**	**$36,802**	**7,613**	**7,734**	**9,226**	**9,678**	**$34,251**	**6,887**	**7,558**	**9,204**	**10,048**	**$33,697**	**8,441**	**6,566**	**12,676**	**7,254**	**$34,938**	**$37,674**
y/y Δ	*5.9%*	*3.8%*	*(1.5%)*	*(15.1%)*	*(7.4%)*	*(3.2%)*	*(6.9%)*	*(9.5%)*	*(2.3%)*	*(0.2%)*	*3.8%*	*(1.6%)*	*22.6%*	*(13.1%)*	*37.7%*	*(27.8%)*	*3.7%*	*7.8%*
Cost of sales	26,110	27,266	5,703	5,834	7,017	7,581	26,134	5,292	5,855	7,141	7,845	26,133	6,536	5,085	9,827	5,635	27,083	29,165
Gross profit	**9,350**	**9,535**	**1,910**	**1,900**	**2,209**	**2,097**	**8,116**	**1,595**	**1,703**	**2,063**	**2,203**	**7,564**	**1,905**	**1,481**	**2,849**	**1,619**	**7,855**	**8,508**
Gross margin	**26.4%**	**25.9%**	**25.1%**	**24.6%**	**23.9%**	**21.7%**	**23.7%**	**23.2%**	**22.5%**	**22.4%**	**21.9%**	**22.4%**	**22.6%**	**22.6%**	**22.5%**	**22.3%**	**22.5%**	**22.6%**
Gross margin change (bps)	(501)	(46)	(88)	(105)	(256)	(387)	(221)	(194)	(203)	(153)	26	(125)	(59)	2	6	39	3	10
SG&A	3,249	3,599	878	899	944	972	3,693	865	903	983	1,023	3,774	1,069	802	1,317	759	3,946	4,261
SG&A as a % of sales	9.2%	9.8%	11.5%	11.6%	10.2%	10.0%	10.8%	12.6%	12.0%	10.7%	10.2%	11.2%	12.7%	12.2%	10.4%	10.5%	11.3%	11.3%
SG&A as % of sales change (bps)	40	62	73	195	97	44	100	103	33	44	14	42	10	26	(29)	28	9	2
Other	(213)	(349)	(78)	(66)	(93)	(79)	(316)	(69)	(67)	(42)	(42)	(220)	(39)	(39)	(39)	(39)	(156)	(150)
Pretax income	**6,315**	**6,285**	**1,110**	**1,067**	**1,358**	**1,204**	**4,739**	**798**	**867**	**1,123**	**1,222**	**4,011**	**876**	**719**	**1,572**	**899**	**4,065**	**4,397**
Income tax expense	1,520	1,479	258	248	325	288	1,119	197	209	275	301	982	212	174	381	220	988	1,082
Tax rate	*24.1%*	*23.5%*	*23.2%*	*23.2%*	*23.9%*	*23.9%*	*23.6%*	*24.6%*	*24.1%*	*24.5%*	*24.6%*	*24.5%*	*24.3%*	*24.3%*	*24.3%*	*24.5%*	*24.3%*	*24.6%*
Net income from operations	**4,795**	**4,806**	**852**	**819**	**1,033**	**916**	**3,620**	**601**	**658**	**848**	**921**	**3,029**	**663**	**544**	**1,190**	**679**	**3,077**	**3,316**
Minority interest/other	50	50	7	9	9	12	36	7	10	5	5	27	7	7	8	8	30	35
Net income	**4,746**	**4,756**	**845**	**810**	**1,025**	**905**	**3,584**	**594**	**648**	**843**	**916**	**3,002**	**656**	**537**	**1,182**	**671**	**3,047**	**3,281**
Adjusted EPS	**$13.82**	**$14.34**	**$2.61**	**$2.58**	**$3.36**	**$3.04**	**$11.57**	**$2.03**	**$2.24**	**$2.96**	**$3.25**	**$10.45**	**$2.35**	**$1.95**	**$4.33**	**$2.49**	**$11.10**	**$12.55**
y/y Δ	(16.3%)	3.8%	(7.4%)	(26.6%)	(18.0%)	(22.4%)	(19.4%)	(22.5%)	(13.1%)	(11.9%)	6.8%	(9.7%)	15.8%	(13.2%)	46.3%	(23.3%)	6.2%	13.1%
Average Shares (Mil.) - Diluted	343	332	323	314	305	297	310	293	289	285	282	287	280	276	273	270	275	261
Consensus EPS, per FactSet	*$13.82*	*$14.34*	*$2.61*	*$2.58*	*$3.36*	*$3.04*	*$11.57*	*$2.03*	*$2.24*	*$2.83*	*$3.25*	*$10.31*	*$2.13*	*$2.51*	*$3.37*	*$3.73*	*$11.91*	*$14.16*
Consensus EBITDA, per FactSet	*$6,350*	*$6,391*	*$1,151*	*$1,078*	*$1,370*	*$1,304*	*$4,947*	*$840*	*$864*	*$1,145*	*$1,333*	*$4,223*	*$911*	*$1,084*	*$1,395*	*$1,702*	*$4,724*	*$5,252*
Margin drivers																		
Homebuilding gross profit margin (incl int expense)	23.5%	23.5%	22.7%	21.8%	21.8%	20.0%	21.5%	20.4%	20.1%	19.9%	19.5%	20.0%	20.0%	20.2%	20.0%	19.6%	20.0%	20.0%
Homebuilding gross profit margin (excl int expense)	24.0%	23.9%	23.2%	22.3%	22.3%	20.4%	22.0%	20.9%	20.6%	20.3%	19.9%	20.4%	20.4%	20.7%	20.3%	20.1%	20.3%	20.4%
Land gross profit margin	47.3%	31.1%	32.0%	86.4%	14.1%	19.6%	39.2%	17.3%	24.9%	30.0%	40.0%	28.7%	30.0%	30.0%	30.0%	30.0%	30.0%	31.3%
SG&A as a % of homebuilding revenues	7.1%	7.5%	8.9%	8.9%	7.8%	7.9%	8.3%	9.7%	9.2%	8.2%	7.9%	8.6%	10.2%	9.4%	8.2%	7.9%	8.8%	8.9%
Operating profit margin	18.5%	17.7%	15.2%	14.6%	15.7%	13.4%	14.7%	12.2%	12.3%	12.8%	12.7%	12.5%	11.0%	11.7%	12.8%	13.1%	12.2%	12.2%
Financial services pretax margin	35.4%	35.3%	26.7%	34.3%	35.7%	34.7%	33.1%	31.4%	26.8%	29.7%	29.7%	29.4%	31.4%	27.8%	30.7%	30.7%	30.3%	31.3%
Company-wide pretax income margin	17.8%	17.1%	14.6%	13.8%	14.7%	12.4%	13.8%	11.6%	11.5%	12.2%	12.2%	11.9%	10.4%	10.9%	12.4%	12.4%	11.6%	11.7%
Growth Statistics																		
Home sales revenue growth	(0.7%)	7.2%	(1.8%)	(15.2%)	(7.3%)	(4.3%)	(7.3%)	(8.9%)	(1.9%)	0.2%	8.3%	(0.1%)	20.4%	(14.8%)	39.2%	(28.3%)	3.3%	8.0%
Land sales revenue growth	31.7%	(19.9%)	8.4%	137.6%	(28.4%)	(24.8%)	2.0%	19.7%	4.2%	82.9%	26.6%	27.7%	(1.4%)	(5.9%)	7.2%	10.3%	3.3%	5.7%
Financial services revenue growth	0.8%	10.1%	(5.3%)	(5.6%)	(6.0%)	(1.7%)	(4.7%)	1.3%	(9.4%)	2.1%	10.4%	1.2%	22.5%	(13.2%)	41.8%	(27.0%)	5.7%	9.9%
Homebuilding gross profit growth (incl int expense)	(18.7%)	6.9%	(2.7%)	(20.1%)	(15.6%)	(19.0%)	(14.9%)	(18.1%)	(9.5%)	(8.5%)	5.9%	(7.4%)	18.1%	(14.6%)	39.9%	(28.0%)	3.4%	8.2%
Homebuilding gross profit growth (excl int expense)	(18.2%)	6.5%	(2.8%)	(19.8%)	(15.2%)	(18.7%)	(14.6%)	(17.7%)	(9.3%)	(8.8%)	5.5%	(7.4%)	17.5%	(14.4%)	39.2%	(27.5%)	3.2%	8.1%
SG&A growth	10.7%	10.8%	5.2%	2.1%	2.2%	1.2%	2.6%	(1.5%)	0.5%	4.0%	5.2%	2.2%	23.5%	(11.3%)	34.0%	(25.8%)	4.6%	8.0%
Operating profit growth	(16.5%)	(0.8%)	(10.1%)	(28.3%)	(21.5%)	(27.6%)	(22.6%)	(27.3%)	(17.5%)	(19.0%)	(1.6%)	(16.1%)	10.3%	(17.3%)	38.2%	(25.3%)	1.2%	7.8%
Financial services pretax income growth	(2.5%)	9.8%	(26.4%)	(6.4%)	(11.0%)	(0.1%)	(10.4%)	19.3%	(29.2%)	(15.1%)	(5.5%)	(10.2%)	22.5%	(10.0%)	46.5%	(24.5%)	9.0%	13.5%
Company-wide pretax income growth	(17.2%)	(0.5%)	(11.0%)	(30.2%)	(24.5%)	(29.6%)	(24.6%)	(28.1%)	(18.7%)	(17.3%)	1.5%	(15.4%)	9.7%	(17.1%)	40.0%	(26.4%)	1.4%	8.2%
EPS growth	(16.3%)	3.8%	(7.4%)	(26.6%)	(18.0%)	(22.4%)	(19.4%)	(22.5%)	(13.1%)	(11.9%)	6.8%	(9.7%)	15.8%	(13.2%)	46.3%	(23.3%)	6.2%	13.1%
Diluted shares outstanding	(3.2%)	(3.4%)	(3.7%)	(5.8%)	(7.6%)	(9.1%)	(6.5%)	(9.3%)	(8.0%)	(6.6%)	(5.1%)	(7.3%)	(4.7%)	(4.4%)	(4.1%)	(4.5%)	(4.4%)	(4.8%)

Source: Company reports, FactSet and Wells Fargo Securities, LLC estimates

This document is for todd@fullertonlp.com and should not be distributed further.

Investment Thesis, Valuation and Risks

D.R. Horton, Inc. (DHI)

Investment Thesis

DHI (Equal Weight) is a leading entry-level homebuilder, with a production-minded approach to construction (plus scale). That said, there's risk across entry-level as peer discounts persist, keeping us sidelined.

Target Price Valuation for DHI

Our $170 price target is based on 17.0x our calendar 2026 EPS estimate, a premium to DHI historical PE, crediting the company for its production-minded approach to construction. But we no longer see enough upside to warrant an Overweight rating; Thus, it's prudent to stay sidelined. This implies P/TBV of 2.0x.

Risks to Our Price Target and Rating for DHI

Key downside risks include: macro sensitivity (interest rates in particular, but also consumer demand dynamics), capital constraints, supply chain constraints, stepped-up site preparation costs (a consistent challenge industry-wide), and idiosyncratic risks associated with DHI's rental business. Key upside risks include: better housing macros, less peer discounting and more favorable consumer dynamics.

Companies Mentioned in Report

Company Name	Ticker	Last Price (04/21/26)
D.R. Horton, Inc.	DHI	$165.13

Source: Wells Fargo Securities LLC Estimates, FactSet

This document is for todd@fullertonlp.com and should not be distributed further.

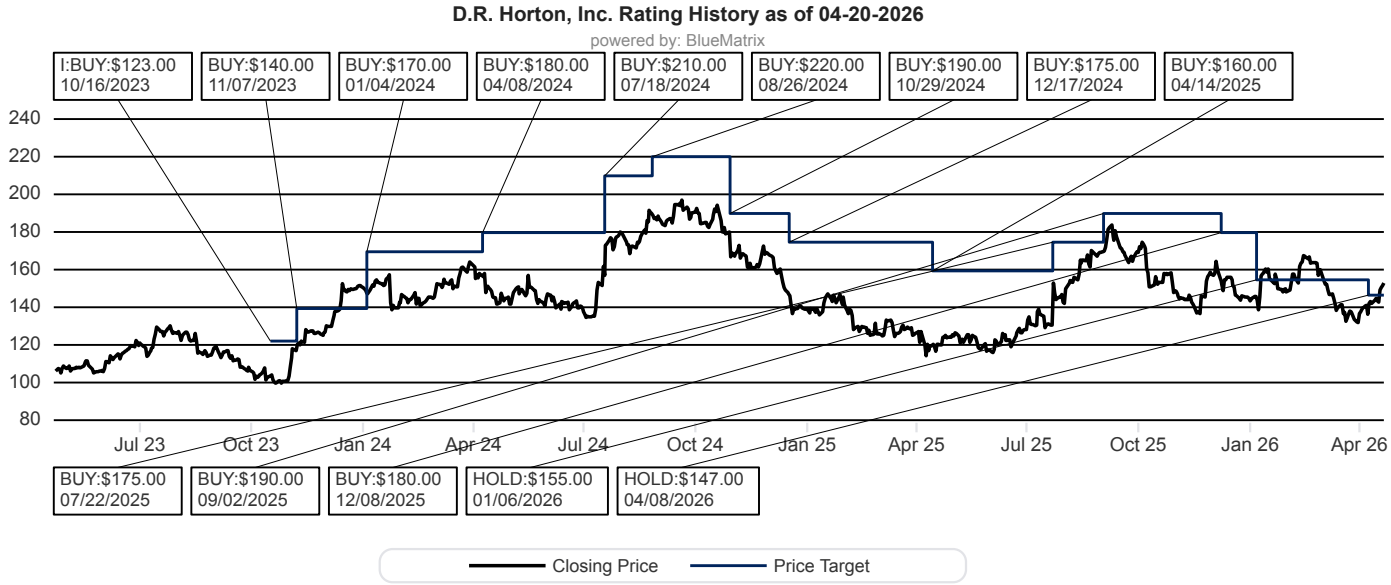
Required Disclosures

I, Sam Reid, certify that:
1) All views expressed in this research report accurately reflect my personal views about any and all of the subject securities or issuers discussed; and

2) No part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by me in this research report.

Wells Fargo Securities, LLC does not compensate its research analysts based on specific investment banking transactions. Wells Fargo Securities, LLC's research analysts receive compensation that is based upon and impacted by the overall profitability and revenue of the firm, which includes, but is not limited to investment banking revenue.

Additional Information Available Upon Request



Initiation (I); Drop Coverage (D); Overweight (BUY); Equal Weight (HOLD); Underweight (SELL); Suspended (SR); Not Rated (NR); No Estimate (NE)

Wells Fargo Securities, LLC, or its affiliates received compensation for investment banking services from D.R. Horton, Inc. in the past 12 months.

Wells Fargo Securities, LLC, or its affiliates intends to seek or expects to receive compensation for investment banking services in the next three months from an affiliate of D.R. Horton, Inc..

Wells Fargo Securities, LLC, maintains a market in the common stock of D.R. Horton, Inc..

Wells Fargo Securities, LLC, or its affiliates, managed or co-managed a public (or 144a) offering of securities for D.R. Horton, Inc. within the past 12 months.

Wells Fargo Securities, LLC, or any of its affiliates, intends to seek or expects to receive compensation for investment banking services from D.R. Horton, Inc. in the next three months.

Wells Fargo Securities, LLC, received compensation for products or services other than investment banking services from D.R. Horton, Inc. in the past 12 months.

D.R. Horton, Inc. currently is, or during the 12 month period preceding the date of distribution of the research report was, a client of Wells Fargo Securities, LLC. Wells Fargo Securities, LLC, provided non-securities services to D.R. Horton, Inc..

D.R. Horton, Inc. currently is, or during the 12 month period preceding the date of distribution of the research report was, a client of Wells Fargo Securities, LLC. Wells Fargo Securities, LLC, provided investment banking services to D.R. Horton, Inc..

Wells Fargo Securities, LLC, or its affiliates has a significant financial interest in D.R. Horton, Inc..

Wells Fargo Securities, LLC, or its affiliates received compensation for investment banking services from an affiliate of D.R. Horton, Inc. in the past 12 months.

STOCK RATING

OW=Overweight: Total return on stock expected to be 10%+ over the next 12 months. (BUY)

EW=Equal Weight: Total return on stock expected to be -10% to +10% over the next 12 months. (HOLD)

This document is for todd@fullertonlp.com and should not be distributed further.

UW=Underweight: Total return on stock expected to lag the Overweight- and Equal Weight-rated stocks within the analyst's coverage universe over the next 12 months. (SELL)

NR=Not Rated: The rating and price target has been removed due to lack of fundamental basis to support the recommendation or due to legal, regulatory or company policy considerations.

FINRA regulation requires member firms to assign ratings to one of three rating categories: Buy, Hold and Sell. In accordance with FINRA regulation and solely to satisfy those disclosure requirements in the ratings distribution table and ratings history chart contained in these Required Disclosures, our rating of Overweight corresponds to a Buy rating; Equal Weight corresponds to a Hold rating; and Underweight corresponds to a Sell rating.

As of April 22, 2026
53.1% of companies covered by Wells Fargo Securities, LLC Equity Research are rated Overweight. (BUY)
39.9% of companies covered by Wells Fargo Securities, LLC Equity Research are rated Equal Weight. (HOLD)
7.0% of companies covered by Wells Fargo Securities, LLC Equity Research are rated Underweight. (SELL)
Wells Fargo Securities, LLC has provided investment banking services for 41.0% of its Equity Research Overweight-rated companies. (BUY)
Wells Fargo Securities, LLC has provided investment banking services for 37.5% of its Equity Research Equal Weight-rated companies. (HOLD)
Wells Fargo Securities, LLC has provided investment banking services for 39.2% of its Equity Research Underweight-rated companies. (SELL)

Important Disclosure for U.S. Clients

This report was prepared by Wells Fargo Securities Global Research Department (“WFS Research”) personnel associated with Wells Fargo Securities, LLC ("Wells Fargo Securities").

WFS Research may, from time to time, provide clients with short-term trading views in its research reports regarding subject companies on which Wells Fargo Securities currently has equity research coverage. A short-term trading view offers a view on how the market price of a subject company’s common equity may trend in absolute terms during the 30 days following the date of the short-term trading view. A short-term trading view on a subject company’s common equity does not impact our fundamental investment rating or price target for that company, which reflect our view of how the subject company’s common equity may perform over a one-year period. A short-term trading view may reach a different conclusion than the firm’s fundamental investment rating and price target for a subject company and, therefore, short-term trading views could result in short-term price movements that are contrary to our fundamental investment rating and price target. Short-term trading views are not ratings and the firm does not intend, nor undertakes any obligation, to maintain, update or close out short-term trading views. Short-term trading views may not be suitable for all investors and have not been tailored to individual investor circumstances and objectives, and investors should make their own independent decisions regarding any short-term trading views discussed in WFS Research reports.

Important Disclosure for International Clients

United Kingdom – The securities and related financial instruments described herein may not be eligible for sale in all jurisdictions or to certain categories of investors. For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited (“WFSIL”). WFSIL is a UK incorporated investment firm authorised and regulated by the Financial Conduct Authority. For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the “Act”), the content of this report has been approved by WFSIL, an authorised person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU (“MiFID2”). The FCA rules made under the Financial Services and Markets Act 2000 for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. This report is not intended for, and should not be relied upon by, retail clients. For the purposes of the U.K. Financial Conduct Authority's rules, this report constitutes impartial investment research.

EEA – The securities and related financial instruments described herein may not be eligible for sale in all jurisdictions or to certain categories of investors. For recipients in the EEA, this report is distributed by WFSIL or Wells Fargo Securities Europe S.A. (“WFSE”). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in the Directive 2014/65/EU (“MiFID2”). This report is not intended for, and should not be relied upon by, retail clients.

Australia – Wells Fargo Securities, LLC and Wells Fargo Securities International Limited are exempt from the requirements to hold an Australian financial services license in respect of the financial services they provide to wholesale clients in Australia. Wells Fargo Securities, LLC is regulated under the laws of the United States and Wells Fargo Securities International Limited is regulated under laws of the United Kingdom. All such laws differ from Australian laws. Any offer or documentation provided to Australian recipients by Wells Fargo Securities, LLC or Wells Fargo Securities International Limited in the course of providing the financial services will be prepared in accordance with the laws of the United States or United Kingdom and not Australian laws.

Canada – This report is distributed in Canada by Wells Fargo Securities Canada, Ltd., a registered investment dealer in Canada and member of the Canadian Investment Regulatory Organization (CIRO) and, Member – Canadian Investor Protection Fund (CIPF). Wells Fargo Securities, LLC’s research analysts may participate in company events such as site visits but are generally prohibited from accepting payment or reimbursement by the subject companies for associated expenses unless pre-authorized by members of Research Management.

China – Strictly Private and Confidential. For the sole use of the recipient only. Not to be copied or redistributed within the People’s Republic of China.

Brazil - This report was not created for distribution to investors resident in Brazil or to the Brazilian public in general. Wells Fargo Securities, LLC is a broker-dealer registered in United States of America with and regulated by the U.S. Securities and Exchange Commission. Wells Fargo Securities, LLC is not registered in Brazil and its products, including this report and the securities mentioned in this report, have not been and will not be publicly issued, placed, distributed, offered or negotiated in the Brazilian capital markets, and, as a result, have not been and will not be registered with the Brazilian Securities Commission (Comissão de Valores Mobiliários, the CVM). The offer of Wells Fargo Securities, LLC's products, including this report and any securities mentioned in this report, is intended only for residents in the countries in which Wells Fargo Securities, LLC is authorized to operate.

About Wells Fargo Securities

This document is for todd@fullertonlp.com and should not be distributed further.

Wells Fargo Securities is the trade name for the capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including but not limited to Wells Fargo Securities, LLC, a U.S. broker-dealer registered with the U.S. Securities and Exchange Commission and a member of NYSE, FINRA, NFA and SIPC, Wells Fargo Prime Services, LLC, a member of FINRA, NFA and SIPC, Wells Fargo Securities Canada, Ltd., a member of IIROC and CIPF, Wells Fargo Bank, N.A. and Wells Fargo Securities International Limited, authorized and regulated by the Financial Conduct Authority.

This report is for your information only and is not an offer to sell, or a solicitation of an offer to buy, the securities or instruments named or described in the report. This report, including any ratings it contains, does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should seek professional advice, including tax advice, to determine whether any advice or recommendation in the attached research report is suitable for their particular circumstances. The information in this report is provided as of the date of the report and has been obtained or derived from sources believed by WFS Research to be reliable, but WFS Research does not represent that this information is accurate or complete. Any opinions or estimates contained in this report represent the judgment of WFS Research, at the time that the report was published, and are subject to change without notice.

All Wells Fargo Securities research reports published by WFS Research are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Clients may also receive our research via third party vendors. Not all research content is redistributed to our clients or available to third-party aggregators, nor is WFS Research responsible for the redistribution of our research by third-party aggregators.

Equity Strategists focus on investment themes across the equity markets and sectors. Any discussion within an Equity Strategy report of specific securities is not intended to provide a fundamental analysis of any individual company described therein. The information provided in Equity Strategy reports is subject to change without notice, and investors should not expect continuing information or additional reports relating to any security described therein.

Clients of WFS Research are permitted to store, display, analyze, modify, reformat, copy, duplicate and reproduce this report and the information contained within it for their own internal use and for no other purpose. Without the prior written consent of Wells Fargo Securities, no part of this report may be copied, duplicated or reproduced in any form by any other means. In addition, this report and its contents may not be redistributed or transmitted to any other party in whole or in part, directly or indirectly, including by means of any AI Technologies (defined below) through which this report or any portion thereof may be accessible by any third-party. “AI Technologies” means any deep learning, machine learning, and other artificial intelligence technologies, including without limitation any and all (a) proprietary algorithms, software, or systems that make use of or employ neural networks, statistical learning algorithms (such as linear and logistic regression, support vector machines, random forests or k-means clustering) or reinforcement learning, or curated data sets accessible by any of the foregoing or (b) proprietary embodied artificial intelligence and related hardware or equipment.

In addition, certain text, images, graphics, screenshots and audio or video clips included in this report are protected by copyright law and owned by Wells Fargo Securities, its affiliates or one or more third parties (collectively, “Protected Content”). Protected Content is made available to clients by Wells Fargo under license or otherwise in accordance with applicable law. Any use or publication of Protected Content included in this report for purposes other than fair use requires permission from Wells Fargo Securities or, in the case of content attributed to any third party, the third-party copyright owner. You may not alter, obscure, or remove any copyright, trademark or any other notices attached to or contained within this report. These Conditions of Use are not intended to, and will not, transfer or grant any rights in or to the report or the information contained within it other than those rights that are specifically described herein. All rights not expressly granted herein are reserved by Wells Fargo Securities or the third-party providers from whom Wells Fargo Securities has obtained the applicable information.

Any external website links included in this publication are not maintained, controlled or operated by Wells Fargo Securities. Wells Fargo Securities does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of Wells Fargo Securities. Please review the applicable privacy and security policies and terms and conditions for the website you are visiting.

Copyright © 2026 Wells Fargo Securities, LLC

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE

This document is for todd@fullertonlp.com and should not be distributed further.